

EQUITY RESEARCH · COMPANY DEEP DIVE

Advanced Micro Devices, Inc. (AMD.US)

HOLD

Composite · Valuation: SELL
Blended Target: \$420.18
Implied upside: -19.4%

Technology · Semiconductors
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$521.58

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$420.18 (-19.4% vs \$521.58); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

Composite: HOLD (score -0.14, confluence 75%) · TA: BULLISH · Quant: POSITIVE · FSA: Strong. Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

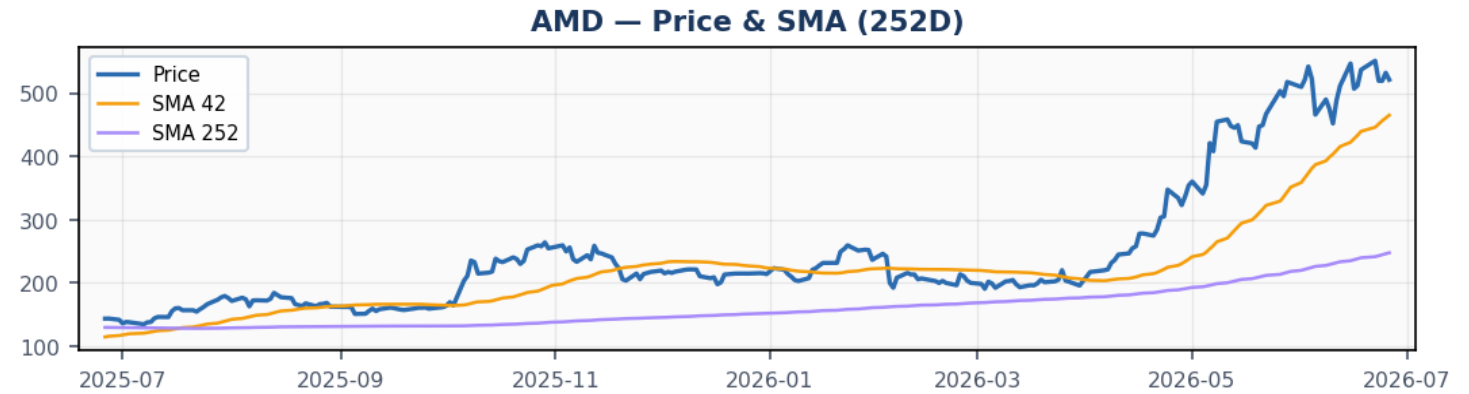
INVESTMENT THESIS / EXECUTIVE SUMMARY

Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **SELL** rating; blended target \$420.18. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$850.49B	Shares Out.	1630.6M
52-Week Range	\$133.50 – \$562.99	P/E (TTM)	172.1x
P/B	13.2x	Beta	2.49
Avg Volume	37.58M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$37.45B	Rev Growth	+37.8%
Op. Margin	14.4%	FCF (TTM)	\$6.74B

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	25,785	34,639	47,733	60,721	72,741
Revenue Growth (%)	N/A	34.3%	37.8%	27.2%	19.8%
Net Income (\$M)	1,641	4,335	5,974	7,599	9,103
Net Income Growth (%)	N/A	164.2%	37.8%	27.2%	19.8%
Gross Margin (%)	49.4%	49.5%	53.1%	53.1%	53.1%
Net Margin (%)	6.4%	12.5%	12.5%	12.5%	12.5%
ROE (%)	2.9%	6.9%	9.5%	10.9%	12.5%
EPS (\$)	1.01	2.66	3.66	4.66	5.58
Book Value / Share (\$)	35.30	38.64	38.64	42.60	44.73
P/E (x)	518.27	196.19	142.37	111.92	93.42
P/B (x)	14.77	13.50	13.50	12.24	11.66
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

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FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Strong (score +0.35). Strengths: Revenue CAGR 13.6% (3Y); Current ratio 2.85x; Conservative balance sheet. Risks: Operating margin deteriorating. 3Y projection: ~25.0% revenue growth; Y3 revenue \$73.15B.

Metric	Value	Assessment
FSA Health Score	+0.35	Strong
Revenue CAGR (3Y)	13.6%	
Net Income CAGR (3Y)	48.6%	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	2.85x	Liquidity
Debt / Equity	6%	Leverage
ROE	8.1%	Profitability
FCF / Net Income	1.55x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$46.82B / \$73.15B	@25.0%
Proj. Net Income (Y1 / Y3)	\$5.32B / \$8.32B	Margin × (1–tax)

TECHNICAL ANALYSIS (SMA 42/252)

Metric	Value	Notes
SMA (42d)	\$465.45	Short-term trend
SMA (252d)	\$247.84	Long-term trend
RSI (14d)	59.3	Momentum oscillator
Trend	Bullish	
Golden Cross (20d)	No	
Death Cross (20d)	No	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$465.45, SMA252=\$247.84

QUANTITATIVE ANALYSIS

Metric	Value	Notes
12m Momentum	+263.0%	
3m Momentum	+158.2%	
Ann. Volatility	56.0%	
Sharpe Ratio	0.70	Rf=4%
Max Drawdown	-65.4%	
Rel. Strength vs SPY	+416.5%	
Quant Score	+0.50	POSITIVE
SMA Backtest (ann.)	41.3%	B&H; 57.2%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$47.99	-90.8%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	High-growth technology (Comps-anchored; DCF excluded when distorted): Comps 85%, Analyst 15%
Comps — 52-week range anchor	\$406.02	-22.2%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$164.67	-68.4%	—	Peer median 36.7x
Comps — P/S (peer median)	\$299.57	-42.6%	—	Peer median P/S 13.0x
Comps — Blended (median of multiples + uplift anchors)	\$406.02	-22.2%	85%	Included in blend
Analyst consensus (Yahoo Finance)	\$500.40	-4.1%	15%	Included in blend
Blended target (weighted)	\$420.18	-19.4%	100%	Comps 85% + Analyst 15%

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	17.71%
Terminal g	4.00%
FCFE growth	13.23%
Base FCFE	\$6.74B
PV explicit (5Y)	\$32.57B
PV terminal	\$45.67B
Equity value (adj.)	\$78.25B
Implied price	\$47.99
vs. current	-90.8%

INDUSTRY ANALYSIS

1. Industry Overview

Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and Embedded. The company offers artificial intelligence (AI) accelerators, microprocessors, and graphics processing units (GPUs) as standalone devices or as incorporated into accelerated processing units, chipsets, and data center and professional...

2. Key Trends

- Strong top-line growth (37.8% YoY)
- Healthy operating margins (14.4%)
- Above-market volatility (β=2.49)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 172.1x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
INTC	Intel Corporation	\$644.94B	N/A	47.3x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$199.62B	20.4x	15.8x	22.3%	-3.5%
AVGO	Broadcom Inc.	\$1.74T	60.6x	42.3x	38.8%	+47.9%
TXN	Texas Instruments Inco	\$259.76B	48.8x	31.0x	29.1%	+18.6%
AMD*	Advanced Micro Devices	\$850.49B	172.1x	113.3x	13.4%	+37.8%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.